

REPUBLIC OF YEMEN

Table 1 **2022**

Population, million	33.7
GDP, current US\$ billion	22.7
GDP per capita, current US\$	674.4
School enrollment, primary (% gross) ^a	93.6
Life expectancy at birth, years ^a	64.7
Total GHG emissions (mtCO2e)	21.9

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2016); Life expectancy (2020).

Economic conditions in Yemen remained highly volatile in 2022 due to both domestic and external drivers. Humanitarian needs worsened due to the economic effects of compounding crises, including Russia's invasion of Ukraine. During 2022, a temporary nationwide truce, external aid, rising oil prices, and some momentum on macroeconomic reforms supported growth. However, the truce expired in October 2022, renewing stress on macroeconomic stability. Downside risks for 2023 include the volatility of aid, scarcity of foreign exchange, and conflict-related developments.

Key conditions and challenges

Several developments supported economic activity in 2022: (1) a temporary UN-brokered truce; (2) the Internationally Recognized Government's (IRG) President transferring power to a Presidential Leadership Council; (3) KSA and UAE announcing a US\$3.3 billion financing assistance package, including US\$2 billion in deposits at the Central Bank of Yemen (CBY) Aden, contingent on an Arab Monetary Fund (AMF)-supported government's reform program; and (4) IRG monetary and fiscal policy reforms ushering in a relative exchange rate stability in Southern Yemen.

During Q4-2022, positive developments were reversed. In October, the truce expired without extension, and Houthis initiated a series of attacks on IRG oil export facilities. The attacks continue to constrain oil exports. As a result, IRG fiscal revenues and CBY-Aden foreign exchange reserves decreased. These developments also caused a decline in public expenditures – with civil servant salary payments in IRG-controlled areas taking a toll – a widening of the current account deficit, and the risk of renewed stress on the balance of payments and the currency, given the low level of CBY's FX reserves.

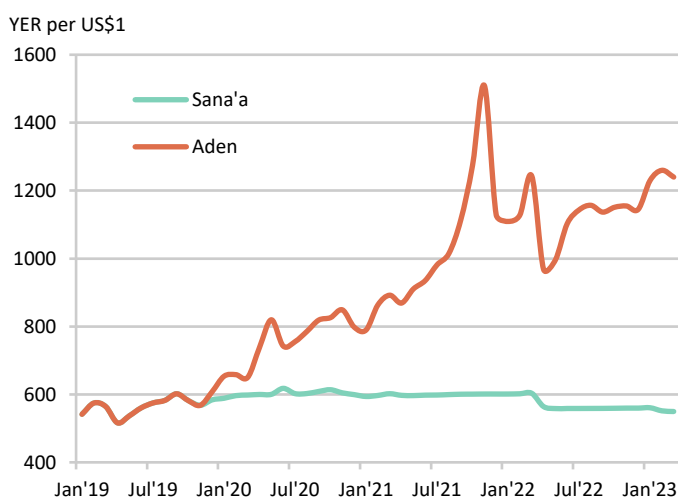
In February 2023, KSA deposited US\$1 billion at CBY-Aden and UAE US\$300 million, as part of the announced package. In spite of this, Yemen's external financing needs exceed available resources,

already in 2023. Therefore, economic stability both in the short and medium run remains contingent on mobilizing additional and sustainable external financing. The conflict has heavily jeopardized oil sector activity as well as Yemen's capability to attract foreign investment. Non-oil activity suffers from essential services interruption and acute input shortages, compounded by double taxation (from Yemen's two fiscal authorities) pervasive corruption, uncoordinated policies, and the multiplicity of Yemen's institutions. Declining civil salary payments and volatile humanitarian assistance have had disastrous impacts on Yemeni households' already precarious living conditions. As a result, food insecurity and poverty are widespread. High food prices make it difficult for households to meet their basic needs. Agriculture – the primary source of subsistence – continues to be highly exposed to disruptive climate, environmental, and pest-related events.

Recent developments

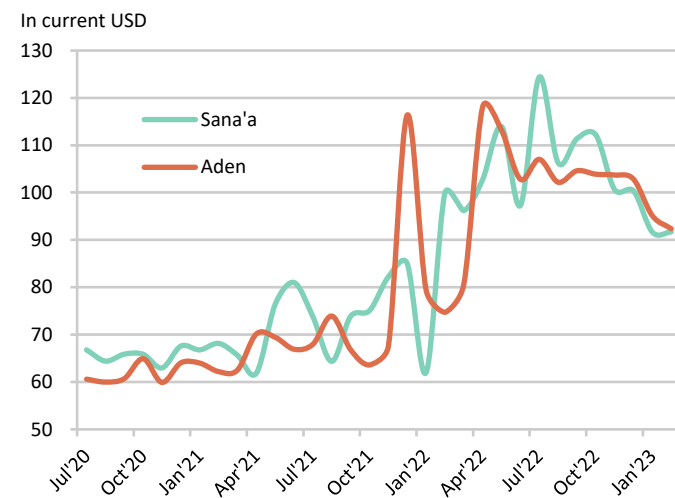
Amid a volatile year, according to IMF and WBG estimates, real GDP grew mildly, by 1.5 percent, in 2022. This tepid growth rate was nonetheless a notable improvement following two consecutive years of contraction. Growth was driven by private consumption and was financed mainly from remittances and official development aid; given Yemen's prevailing conditions, a large amount of unrecorded financial flows also finance economic activity. The

FIGURE 1 Republic of Yemen / Exchange rate trend: Sana'a and Aden



Sources: Telegram Exchange Market Group and World Bank staff calculations.

FIGURE 2 Republic of Yemen / Survival and Minimum Expenditure Basket Price in US\$, monthly average



Sources: Yemen Joint Market Monitoring Initiative, Telegram Exchange Market Group and World Bank Staff calculations.

hydrocarbon sector acted as a drag on real GDP growth due to underinvestment and the Houthis' ongoing export embargo. An unprecedented series of torrential rains during the 2022 summer also impacted production, tapering economic expansion. Regarding fiscal conditions, during the first three quarters of 2022, IRG was on track for a balanced budget; however, the expiration of the truce and subsequent oil export constraints significantly curbed revenues. As a result, IRG's fiscal deficit (cash basis) remained unchanged at 2.2 percent of GDP in 2022 compared to 2021. The deficit was financed through monetary sources, contributing to inflation/depreciation pressure during Q4-2022.

A combination of domestic and external factors pushed Yemen's import bill from 46.4 percent of GDP in 2021 to 59.7 percent in 2022, including (1) the economic rebound; (2) the operationalization of Hodeida port; and (3) global rising global commodity prices. Exports, remittances, and donor assistance increased, though significantly less than imports, resulting in a markedly wider current account deficit (14.0 percent of GDP) in 2022 (CBY Aden data.) The deficit was financed through one-off financial inflows, including the

liquidation of CBY-Aden foreign currency reserve accounts held abroad and 50 percent of Yemen's quota from the IMF's latest SDR allocation. At end-2022, CBY-Aden's liquid FX assets stood at less than one month's worth of imports.

Encouraging reforms improved exchange rate stability in 2022. Regular FX auctions prompted greater exchange rate stability in the Aden market; however, declining sentiment due to the truce's expiry, and resumption of inflationary fiscal deficit financing, have renewed pressures on the currency, since late 2022.

The spike in global commodity prices affected Yemen's inflation rate, which rose to approximately 30 percent in 2022 (Joint Market Monitoring Initiative data), though unevenly between IRG and Houthis areas. Rising commodity prices, particularly food prices, negatively impact households purchasing power and consumption, leading to higher food insecurity and poverty.

Outlook

The macroeconomic outlook for 2023 remains highly uncertain, given the oil export

constraints and ongoing truce negotiations. Economic stability in the short run hinges heavily on predictable and sustainable hard currency inflows and political/military developments. Even assuming oil exports resumption in H2-2023 at H1-2022 levels, we project real economic activity to contract by 0.5 percentage points during 2023. Should a lasting truce or peace arise, however, Yemen's economy could register more sustained growth within months of such an agreement, driven by an expected rapid rebound of transport, trade, financial flows and reconstruction financing. Over the medium term, growth is conditional on a peace agreement, prudent policymaking, and a robust reform and recovery effort backed by international reconstruction financing.

Risks include a resurgence of hostile activities caused by regional or domestic tensions, terms of trade shocks, and new natural disasters. In addition, policy inaction - reflecting political gridlock by various parties - remains a paramount risk to Yemen's outlook. Nevertheless, sustained government focus on monetary and macroeconomic stability and strengthening policy and institutional capacity can help improve immediate economic prospects.

TABLE 2 Republic of Yemen / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022e	2023f	2024f
Real GDP growth, at constant market prices	-8.5	-1.0	1.5	-0.5	2.0
Inflation (Consumer Price Index)^a	19.6	26.0	29.1	16.8	20.3
Current Account Balance (% of GDP)	-5.9	-5.1	-14.0	-21.0	-13.8
Net Foreign Direct Investment Inflow (% of GDP)	0.0	0.0	-0.4	0.6	0.5
Fiscal Balance (% of GDP)	-4.8	-2.2	-2.2	-2.6	-2.3
Revenues (% of GDP)	6.6	7.1	11.1	8.3	10.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.

a/ Inflation rates refer to end-of-period figures.